The Conciliation Commission pushed for an international conference to address the refugee problem, as well as the other core issues of the conflict, in order to forge a comprehensive peace settlement. Such a conference was indeed held in Lausanne, Switzerland, and convened discussions in two rounds, from April to September 1949.

Ben-Gurion, in a meeting with Ethridge on April 18, 1949, presented a relatively conciliatory stance. He expressed his willingness to compensate the refugees who were farmers for their lands, to offer advice on how to absorb refugees in Arab countries, and to allow a small number of refugees to return to Israel on the basis of family reunification.

The Lausanne Conference convened at the end of April 1949, and by the end of May there was nothing remarkable to report. The Americans' frustration grew, and at the end of May President Truman sent Ben-Gurion an extremely strong-worded letter. Among other things, Truman wrote that the US government did not see the current approach of the Israeli government as being consistent with the principles upon which US support of Israel was based. "The US Government is gravely concerned lest Israel now endanger the possibility of arriving at a solution of the Palestine problem in such a way as to contribute to the establishment of sound and friendly relations between Israel and its neighbors. . . . The Government of Israel must be aware that the attitude which it has thus far assumed at Lausanne must inevitably lead to a rupture in those conversations," the president wrote.

At the end of June 1949, the deliberations of the Lausanne Conference were suspended for three weeks. Representative Ethridge resigned and made no secret of the fact that his reason for doing so was the inflexibility of the Israelis. This did not improve—to put it mildly—Israel's status in the eyes of the Americans, especially not in the eyes of President Truman, who was Ethridge's patron and personal friend. Teddy Kollek, whose opinion Ben-Gurion greatly respected, wrote to Ben-Gurion from London that the refugee problem, as it was perceived abroad, was becoming the main difficulty in Israel's foreign relations and that in order to avoid a crisis it was necessary to change direction.

While Ben-Gurion did say in internal discussions that Israel must not give in to pressure that threatened its vital interests, there is no doubt that Truman's letter made a strong impression on him. The US administration also threatened to suspend a $100 million loan to Israel that had already